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Our best crypto alpha factor returned +15.35% over the first half of 2026. However, owning it on its own would still have been the wrong call.

Reliably picking which factor leads in advance is impossible. Here's how a seven factors composite performed year to date, illustrating why the least exciting answer emerged victorious once again.

- **Momentum and Carry** did the heavy lifting:

- Polaris: +15.35%
- Enhanced Carry: +12.06%

These two factors led again, similar to the previous year, with Enhanced Carry's return largely driven by the predictive signal in funding rates rather than the payments themselves.

- The **Microstructure Winners** cooled off:

- Supply Velocity: +4.29% (down from +24.6% last year)
- Margin Risk: +1.78%
- Altair: -0.61%

These factors serve as great diversifiers over a full cycle but faced a soft six months.

- Relative Illiquidity remained out of favour at -2.78%.

- The standout factor was **Retail Flow**, which returned +4.84%. It was our worst factor over the trailing year at -1.6%, but the contrarian retail signal regained strength as flow shifted.

The strategy, as always, is to composite multiple factors. The 7-factor blend returned +9.25% year to date, with a Sharpe ratio of 1.80, 9.9% volatility, and a maximum drawdown of 6.1%. This approach would have allowed you to capture most of Polaris's upside without needing to predict it in advance,

while also mitigating losses from the two factors that finished in the red.

The full breakdown is live if you want to explore it further; the link is in the comments. How are you managing it on your side - single signal or a blend?

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